Chapter 8: Monopoly, Market Power, and Price Discrimination

Principles of Microeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 8: Monopoly, Market Power, and Price Discrimination, benchmarked to standard principles curriculum.

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1 Monopoly Output and Pricing

Monopolists face downward-sloping demand $P = a - bQ$. Marginal Revenue has twice the slope of inverse demand:

$$MR = a - 2bQ \tag{1}$$

Profit maximization at $MR = MC$ produces deadweight loss. Market power is measured by the Lerner Index:

$$L = \frac{P - MC}{P} = \frac{1}{|\varepsilon_d|} \tag{2}$$